

lost when you lapsed on your policy. If you want to redeem after the first three years, you get back some money, but not your entire capital. You lose quite a lot, depending on when you exit. Find out what it costs to exit earlier than the product term. In the mystery shopping story above, when our auditors asked about the costs of exit, over two-thirds of the bank managers did not answer the question. Either they did not know or were not willing to tell. Ask your seller to write down what it costs to exit and over what time period.

Holding period

Do you look at boiling milk and making kheer with the same time period in mind? Milk is a five-minute job and kheer cooks slowly to become the wonderful sweet it is. Each financial product has a use-by date on it. Unfortunately, regulators in India do not force manufacturers or sellers to put that date on the product material.

If you use a financial product that releases its flavour over many years for a short-term need, you are courting financial disaster. Therefore, planners do not recommend pure equity products for financial goals that are less than three years away. ***Each product you allow into your money box must answer this question: How long do I need to hold it for it to work for me?***

This is one of the most crucial questions to ask, because the success or failure of a financial product is also dependent on whether you bought a product that is suited for your investment horizon.

There are some products that even if held to term are bad for your money box. I will include ULIPs and traditional plans in this category. ***Do not bundle investment and insurance.*** Keep your investment cells of the money box free of the scourge of a bundled life insurance plan.

Taxes

Returns need to be evaluated taking into account the costs, inflation and taxes. Once these three big bites are taken out of your returns, most products give a